THE PRESIDENT'S OFFICE

REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT

ARUSHA REGION TERMINAL EXAMINATIONS - MAY, 2025

FORM THREE

COMMERCE FORM THREE

TIME: 3:00HRS

INSTRUCTIONS

1. This paper consists of three sections A, B and C with a total of eleven (11) questions
2. Answer all questions in section A, B and two(2) questions from section C
3. Cellular phones and any unauthorized materials are not allowed in the examination room
4. Write your examination number on every page of your answer sheets

SECTION A (16 Marks)

1. From items (i)-(x) choose the most correct answer from the given alternatives and write its letter beside the item number in the answer sheets provided

   i. You approached CRDB bank clerk in order to open an account and keep your money for two years without taking them. The possible account that the clerk would advise you to open is

      A. Current account B. Fixed deposit account C. Saving account D. Junior account E. Fixed, current account

   ii. You were employed as a warehouse keeper and review book store. Which stock calculation will help you to identify the fast and slow moving items?

      A. Rate of stock turn rate B. Mark up C. Order point D. Average stock E. Margin

   iii. Mr. Mollel is a trader selling second hand clothes that normally buying them from Dubai and selling them in Arusha region in Tanzania. Which type of trade Mr. Mollel conducting?

      A. Retail trade B. Export trade C. Wholesale trade D. Import trade E. Home trade

   iv. Salma is a trader is checking and recording stock in her shop. Identify activity is Salma performing

      A. Stock valuation B. Stock calculation C. Care of stock D. Stock control E. Placing of stock

   v. Mr. John is the large scale local producer who invested capital of 200 million production. The name of the reward he deserves is

A. Large scale retailers B. Small scale retailers C. Profit D. Interest E. Wholesaler

vi. Is everything you do to promote and sell your products once the potential customer is in your store;

A. Advertising B. Merchandising C. Promotion D. Motivation E. Warehousing

vii. Is an attractive business idea that an entrepreneur accepts for investment

A. Business activity B. Business opportunity C. Business plan D. Business investment

E. Business proposal

viii. A Machinga use bicycle moving various areas of Arusha selling fish and vegetables. Which type of trade the Machinga belongs?

A. Hawkers B. peddler C. Cheap jacks D. Market trader E. Road side trader

ix. Nance bought goods worth TZS 50,000,000 from Lazaro and she paid him by cheque. Which part to a cheque is presented by Nance

A. Drawer B. Drawee C. Endorsee D. Payee E. Endorser

x. All of the following are examples of traditional media of communication except;

A. Songs B. Drums C. Internet D. Gestures E. Horns

2. Match the item in List A with the corresponding response from list B and write the letter of the correct response in the answer sheets provided

COLUMN A		COLUMN B
i)	Cheques normally cashed across the counter	A. Stale cheque
ii)	Cheques deposited into the bank account of the payee	B. Self cheque C. Open cheque
iii)	Cheques presented before the bank, after the expiry period	D. Mutilated cheques E. Blank cheque
iv)	Cheques drawn containing a future date	F. Postdated cheque
v)	Cheques which is torn, damaged, crushed or washed	G. Cancelled cheque H. Travellers cheque
vi)	Cheques used to make payment in a foreign country	I. Crossed cheque

SECTION B (54 MARKS)

3. i) Mr. Donald is struggling to expand his business capital and has approached you for advice. Advise him on five (5) different ways of raising additional capital as an entrepreneur

   ii) Describe any four qualities of money

4. The bank manager of Pamoja Community bank had refused to effect payment against the cheque presented by Ms. Lina. Why do you think the manager had refused? Give any six (6) possible reasons

5. Mount Meru Hospital has bought medicine from China and they are urgently needed to save the life of patients in Tanzania. Which mode of transport would you advice Mount Meru hospital to use? Explain five advantages of the mode of transport you have mentioned
6. Packing becomes very useful in marketing of goods. List down five advantages of packing a product
7. Using the knowledge in business communication:
   (a) Elaborate four benefits of using written communication in business
   (b) Suggest two factors that may hinder effectiveness of written communication
8. (a) Deborah is engaged in production of snacks and juice for sale. Identify the type of production she is involved in and give reason for your answer
   (b) Explain the five advantages of the type of production you have identified in part (a)

SECTION C (30 MARKS)

9. Mr. Matangazo is a retail trader who believes that business location and capital are the basic qualities for a retailer. Prove that Matangazo's believe is wrong by providing six justifiable qualities of a successful retailer
10. (a) Most traders in Tanzania particularly those in rural areas are unfortunately not fully aware of the differences between market and marketing. As a commercial student help them to differentiate the two terms (three points)
    (b) Bonded Warehouse is important to both importers and government. Using three points describe importance of bonded warehouse to the Government.

11. Mr. Kufakuchungu has been involved himself in Trans-continental trade for a good number of years. Currently he has been discouraged by his undertakings. As a commercial expert examine six (6) reasons of his discouragement.